

may want to keep this portion. If it's older, and typically valued at less than \$1,000, it probably won't be worth the payout.

JUST TO CLARIFY:

Comprehensive Coverage: Insurance that covers your vehicle against damages resulting from incidents other than collision—theft, vandalism, flooding, fire, damage due to a natural disaster, etc.

3. INCREASE YOUR DEDUCTIBLE

Just like we talked about with homeowner's insurance, a higher deductible is one of the best ways to guarantee a lower premium. But it can also be a risky move. If you get into a fender-bender or more serious accident, you're suddenly out hundreds of dollars to take care of whatever damage has occurred. One wrong turn, and your bank account takes a pretty big hit!

I can't harp on this point enough; you *must* have an Emergency Fund in place to cover your deductible in case something like this happens. You should also think long and hard about what you decide to claim. Something miniscule like a small dent or missing headlight might actually be cheaper to pay out of pocket, rather than file a claim and deal with mounds of paperwork—not to mention a potential price hike in your premium because you actually used their service.

If the idea of permanently increasing your deductible scares you, consider this as a temporary solution for a few months. A higher deductible might be just the thing to get you through a financial rough patch, and you can always go back and lower the deductible again, if needed. Just be sure you have that Emergency Fund!

4. TAKE ADVANTAGE OF SPECIAL DISCOUNTS

I can't even begin to tell you how many commercials I see featuring one insurance company after another, each vying for our attention...and our